Market Equilibrium and Disequilibrium

When is the market in equilibrium?

The market is said to be in equilibrium when the quantity demanded equals the quantity supplied so that all that is produced is bought.

The market is in disequilibrium when, at a given price, quantity demanded does not equal quantity supplied.

If the price is above the clearance price there will be excess supply and if the price is below the clearance price there will be excess demand

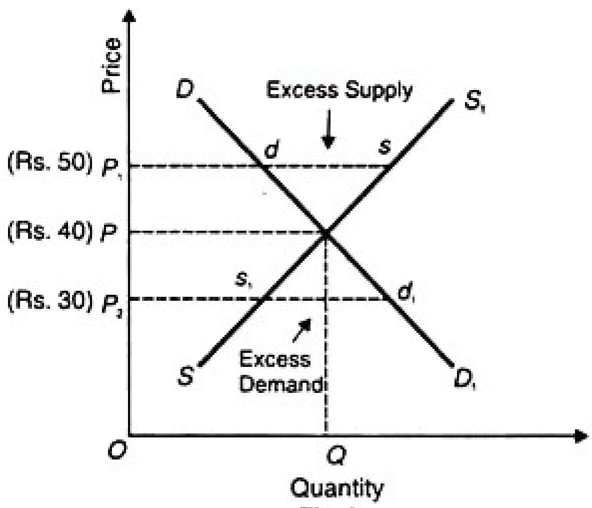

Fig. 1

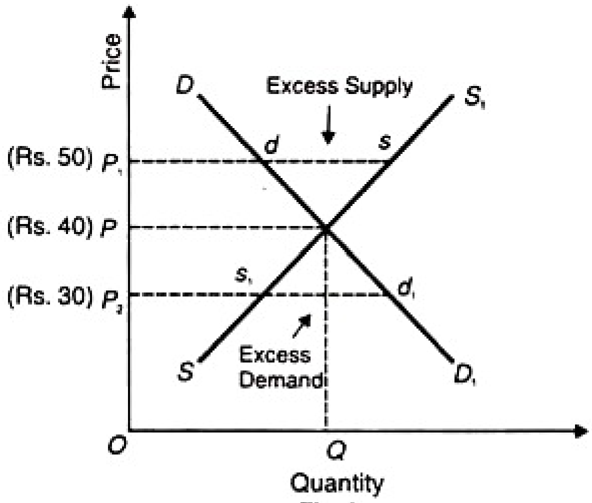

Fig. 1

- When the price is below the equilibrium point there is excess demand and buyers will compete to buy the product and sellers will raise the price to maximise profits
- If the price is above equilibrium there is excess supply and buyers will be able to take advantage of discounts and sales as sellers try to off load their excess stock